Marketing Strategy

Chapter 2

Marketing Principle #1
All Customers Differ → Managing Customer Heterogeneity

Agenda

- **Introduction**
- Approaches for Managing Customer Heterogeneity
  - → Evolution of Approaches for Managing Customer Heterogeneity
  - → Segmenting, Targeting, and Positioning (STP) Approach
  - → Customer-Centric Approach
- Framework for Managing Customer Heterogeneity
  - → Inputs to Managing Customer Heterogeneity Framework
  - → Outputs of Managing Customer Heterogeneity Framework
  - → Process for Managing Customer Heterogeneity
- Takeaways
- Examples/Case

All Customers Differ

- Most basic issue facing managers, as they make strategic marketing decisions for their firms is that all customers differ
  - → **Customer heterogeneity** is variation among customers in terms of their needs, desires, and subsequent behaviors
- In response, firms are targeting smaller & smaller segments
  - → Mass marketing → niche marketing → 1 to 1 marketing
  - → Competitive race as firms target smaller segments
  - → But it is hard to effectively compete in all segments
- Drivers
  - → Matches inherent customer desires (real, perceived)
  - → Faster response to customer trends and changes
  - → Technology enabled (more economical to target/customize)
  - → Only limited by tradeoff in efficiency (cost) versus benefit of better match to need (solution)

Example: Macy's vs. TJ Maxx (US)

- Macy's traditionally serves many needs across apparel, beauty, and home categories.
- In 2024, Macy's announced plans to close approximately 150 underproductive locations through 2026 and invest in about 350 continuing locations.
- TJ Maxx focuses on value-seeking shoppers through an off-price model and locally tailored assortments.

> Why might a department store that sells almost everything fail to outperform a specialist for one customer segment?



Macy's: broad assortment



TJ Maxx: off-price focus

Sources: Macy's, Inc. (2024); TJX 2025 Annual Report. Photos: Kidfly182, CC BY 4.0; Connor Williams, CC BY 2.0.

In Class Exercise on Customer Heterogeneity

- Everyone take 2 minutes to list your favorite retailer, and why _____
  - → First reason _____
  - → Second reason _____
- How could one retailer be the best at satisfying all of you?
- What segment is each retailer targeting?
- What are Walmart's and Nordstrom's target segments?
- What happened to JC Penny and Gap?

Five Sources of Customer Heterogeneity: Part 1

1. Individual differences

- **Description:** Customers differ in enduring personal characteristics and resources.
- **Examples:** Age, income, expertise, risk tolerance, and time available.

2. Life experiences

- **Description:** Past events shape what customers notice, value, and avoid.
- **Examples:** Family stage, career history, culture, travel, and prior product experience.

Five Sources of Customer Heterogeneity: Pa

3. Functional needs

- **Description:** Customers hire an offering to solve different practical problems.
- **Examples:** Convenience, reliability, speed, safety, and performance.

4. Self-identity and image

- **Description:** Choices express identity or signal membership in a social group.
- **Examples:** Style, status, sustainability values, and professional identity.

5. Marketing activities

- **Description:** Different exposures and relationship histories create different responses.
- **Examples:** Advertising, promotions, channels, loyalty programs, and sales contact.

Customer Heterogeneity: A Fundamental Assumption

- Every market contains meaningful variation in customer needs, preferences, and response.
- Some differences are visible in behavior; others remain latent until technology, regulation, or competition makes them actionable.

Effective marketing begins by recognizing which differences matter for the decision at hand.

Latent Customer Heterogeneity

- **Latent customer heterogeneity** is defined as potential differences in desires that are unobserved and have not become manifest in customer purchase preferences or behaviors yet

- Latent customer heterogeneity can stem from several constraints:
  - → Legal constraints (government regulations, patents)
  - → Economic constraints (prohibitive prices, due to the size of the market or the costs of providing)
  - → Technological constraints (only way known to make something)
  - → Innovative constraints (no firm has yet identified and satisfied the need)

Example: The U.S. OTC Hearing-Aid Market

2022 The FDA's OTC category allowed adults with perceived mild-to-moderate hearing loss to buy eligible devices without a prescription or professional fitting.

2024 The FDA authorized Apple's Hearing Aid Feature for compatible AirPods Pro, bringing hearing support into a familiar consumer device.

> How can a regulatory change reveal previously latent segments based on price, convenience, stigma, and technology preference?



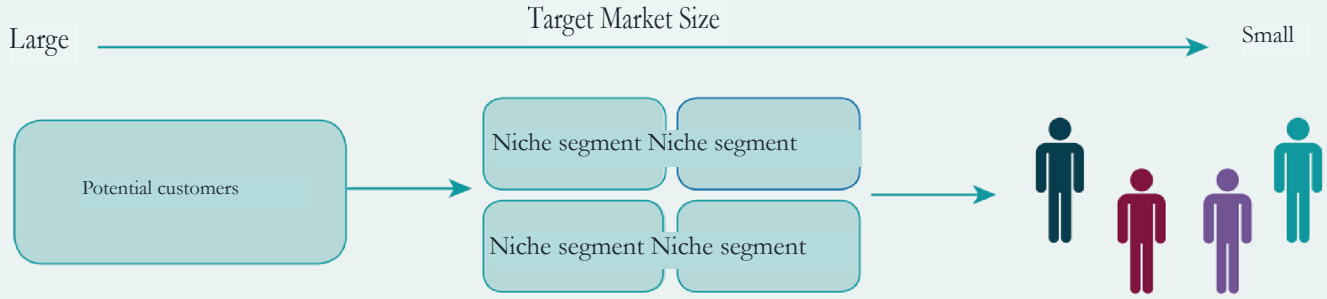
Consumer electronics enter a regulated health category

Sources: U.S. FDA OTC Hearing Aids rule (2022); FDA authorization of Apple Hearing Aid Feature (2024). Image: Apple Newsroom.

Agenda

- Introduction
- **Approaches for Managing Customer Heterogeneity**
  - → Evolution of Approaches for Managing Customer Heterogeneity
  - → Segmenting, Targeting, and Positioning (STP) Approach
  - → Customer-Centric Approach
- Framework for Managing Customer Heterogeneity
  - → Inputs to Managing Customer Heterogeneity Framework
  - → Outputs of Managing Customer Heterogeneity Framework
  - → Process for Managing Customer Heterogeneity
- Takeaways
- Examples/Case

Evolution of Approaches for Managing Customer Heterogeneity



Mass marketing, which utilizes mass media to appeal to an entire market with a single message

Niche marketing, which concentrates all marketing efforts on a small but specific and well-defined segment of the population

One-to-one marketing which advocates tailoring of one or more aspects of the firm's marketing mix to the individual customer

Trends Enabling Smaller and Smaller Target Markets

Few national channels (broadcasting)	Media	Many cable channels (narrowcasting)
Large batch manufacturing/printing	Printing and Manufacturing	Modular manufacturing/ digital printing
Phone/direct mail	Communication	Internet/mobile

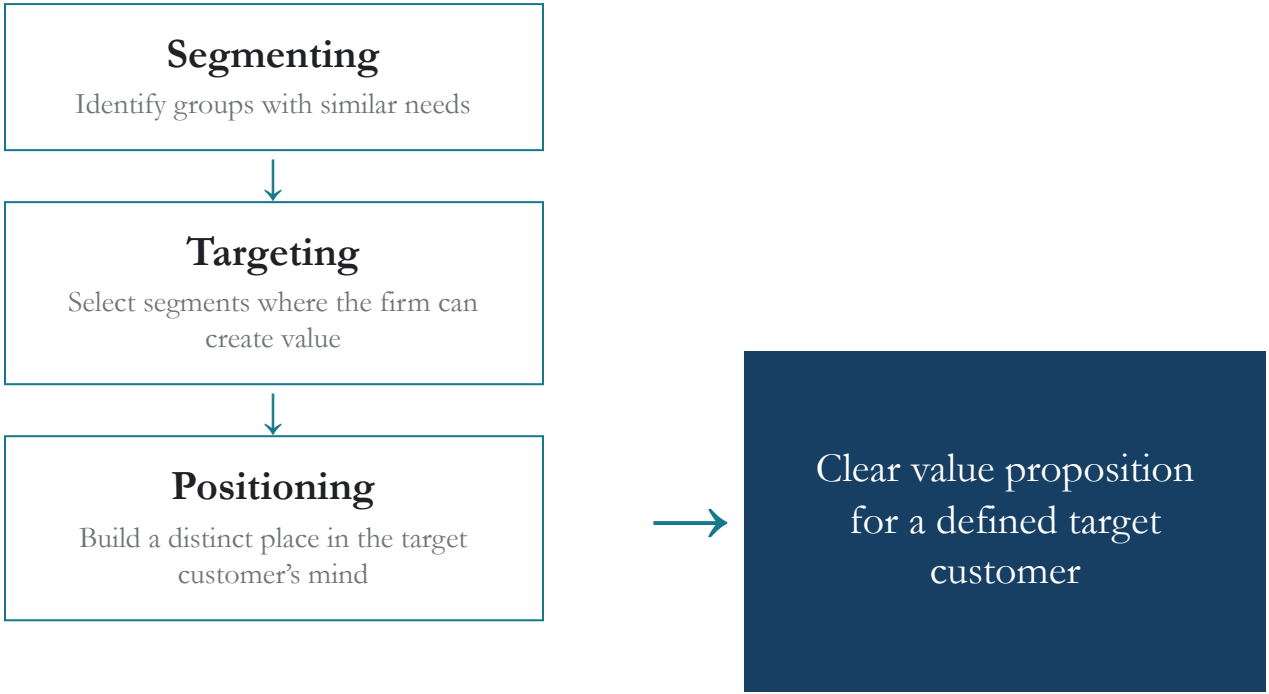
Evolution of Approaches for Managing Customer Heterogeneity

- **Mass marketing era** used mass media to appeal to an entire market with a single message, is a marketing strategy in which a firm mostly ignores customer heterogeneity, with the assumption that reaching the largest audience possible will lead to the largest sales revenue
- **Niche marketing era** focused marketing efforts on well-defined, narrow segments of consumers, and by specializing, this method seeks to give the firm a competitive advantage
- **One-to-one marketing era** is marked by a shift towards one-to-one marketing, such that firms attempt to apply marketing strategies directly to specific consumers
- Across all three eras, the underlying method for dealing with customer heterogeneity is the same: focus on smaller and smaller groups of customers, such that the needs of each group are more similar as they get subdivided into smaller units, until the focus reaches an individual customer

Example: Spotify (Sweden)

- The Swedish streaming service understands the significance of personalization. Its flagship feature, Discover Weekly, provides listeners with personalized content that reflects their listening history.
- The tailor-made playlists attract 40 million users per month. Then Spotify capitalizes on this one-to-one ability to access customers and their preferences by selling advertising space within the playlists.
- By identifying customer preferences, Spotify provides listeners with what they want while allowing firms to reach those customers on a more personal level.

Segmenting, Targeting, and Positioning (STP) Approach



Segmenting

Divide the market so customers within a segment are similar on the needs that matter, while customers across segments are meaningfully different.

1. Define the market and potential customers.
2. Identify needs and useful descriptors.
3. Collect customer-level data.
4. Reduce and group the data.
5. Profile and name the segments.

Segment profile

Needs

Size and value

Customer descriptors

Segmentation Steps

- Identify and refine "pool" of potential customers needs and descriptors (qualitative research)
- Collect data from random assortment of potential customers on "importance" of needs/benefits to purchase decision
- Use "needs/benefits" to segment the market into 3 to 7 homogeneous customer groups
  - → Often need to group like questions together using factor analysis before clustering customers
  - → # segments based on results, ability to manage, and actionable
- Name segments (communication tool)

Three Methods Turn Survey Data into Segments

1

Factor analysis

Condenses correlated need ratings into a smaller set of interpretable dimensions.

→

2

Cluster analysis

Groups applicants with similar factor scores into internally coherent segments.

→

3

Discriminant and classification analyses

Explain segment differences and classify future applicants.

MBA Program Segmentation Case

Business problem

An MBA program wants to increase enrollment without relying on one generic message for all prospective students.

Available data

- Importance ratings for program attributes such as prestige, convenience, affordability, content, and networking
- Applicant demographics, career stage, location, and stated interest

Analytical question

Which applicant groups want different benefits, and how can the program identify and serve them?

MBA Case: Factor Analysis

Input

Twelve correlated importance ratings from prospective MBA students

Core steps

1. Inspect correlations and sampling adequacy
2. Extract a small set of factors
3. Rotate and interpret factor loadings
4. Save factor scores for each respondent

Output

- Convenience
- Prestige
- Affordability
- Content fit
- Networking

MBA Case: Cluster Analysis

Input

Five factor scores for every respondent

Core steps

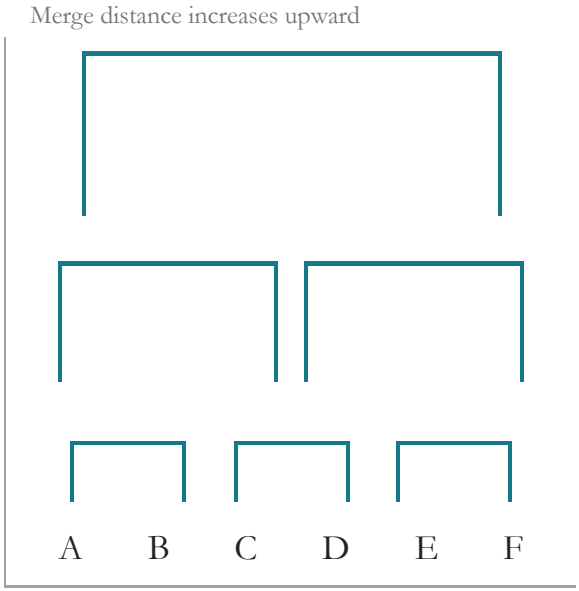
1. Standardize the inputs
2. Compare candidate cluster solutions
3. Assign applicants to clusters
4. Interpret means and segment size

- Mobility Minded
- Easy Promotions
- Young Status Seekers
- New Career Networkers
- Relevant Learners
- Cheap and Easy

MBA Case: Hierarchical Clustering

Hierarchical clustering helps reveal how smaller applicant groups combine as the permitted within-cluster dissimilarity increases.

- Begin with each respondent as a separate cluster.
- Merge the closest clusters step by step.
- Inspect the dendrogram and the change in within-cluster variance.
- Use the result to inform, rather than mechanically determine, the final number of segments.

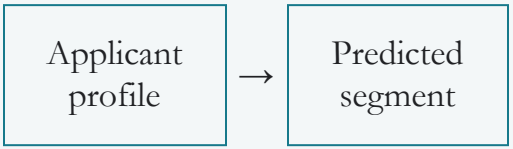


MBA Case: Discriminant and Classification Analyses

What the analysis does

- Identifies the descriptors that best distinguish the segments.
- Builds a rule that assigns a new applicant to a segment.
- Tests how accurately the rule reproduces the cluster solution.

Example output

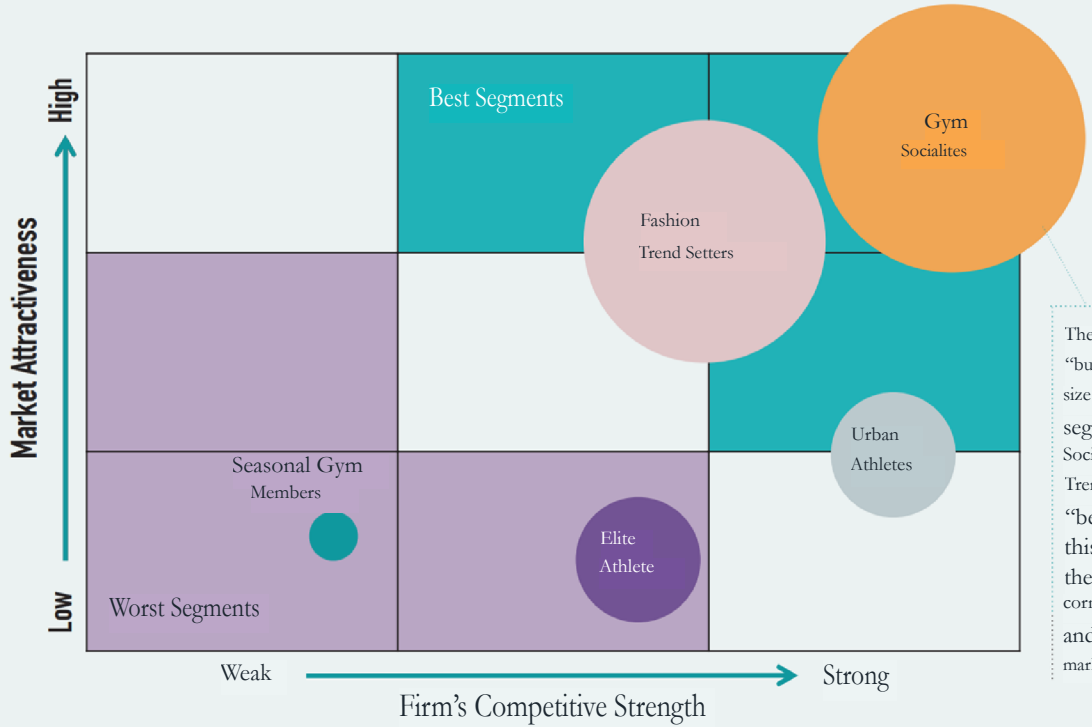


Career stage, location, income, and program interest may help classify a new respondent as "Mobility Minded" or "New Career Networker."

Targeting

- A market needs to select segments to target based on certain selection criteria
  - → **Market attractiveness** (size, growth rate, price sensitivity, etc.)
  - → **Competitive strength** (captures the relative strength of a firm, versus competitors, at securing and maintaining market share in a given segment)
- Uses all three "Cs" as input: **c**ustomer, **c**ompany, and **c**ompetitors
- An ideal target segment should meet six criteria:
  - → Based on customer needs (customer care)
  - → Different than other segments (little crossover competition)
  - → Differences match firm's competences (firm can execute within resource constraints)
  - → Sustainable (can keep customers)
  - → Customers are identifiable (can find targeted customers)
  - → Financially valuable (valuable in the long term)
- The **GE matrix** is one analysis tool designed to helps managers visualize and select target segments

GE Matrix: Analysis Tool for Targeting

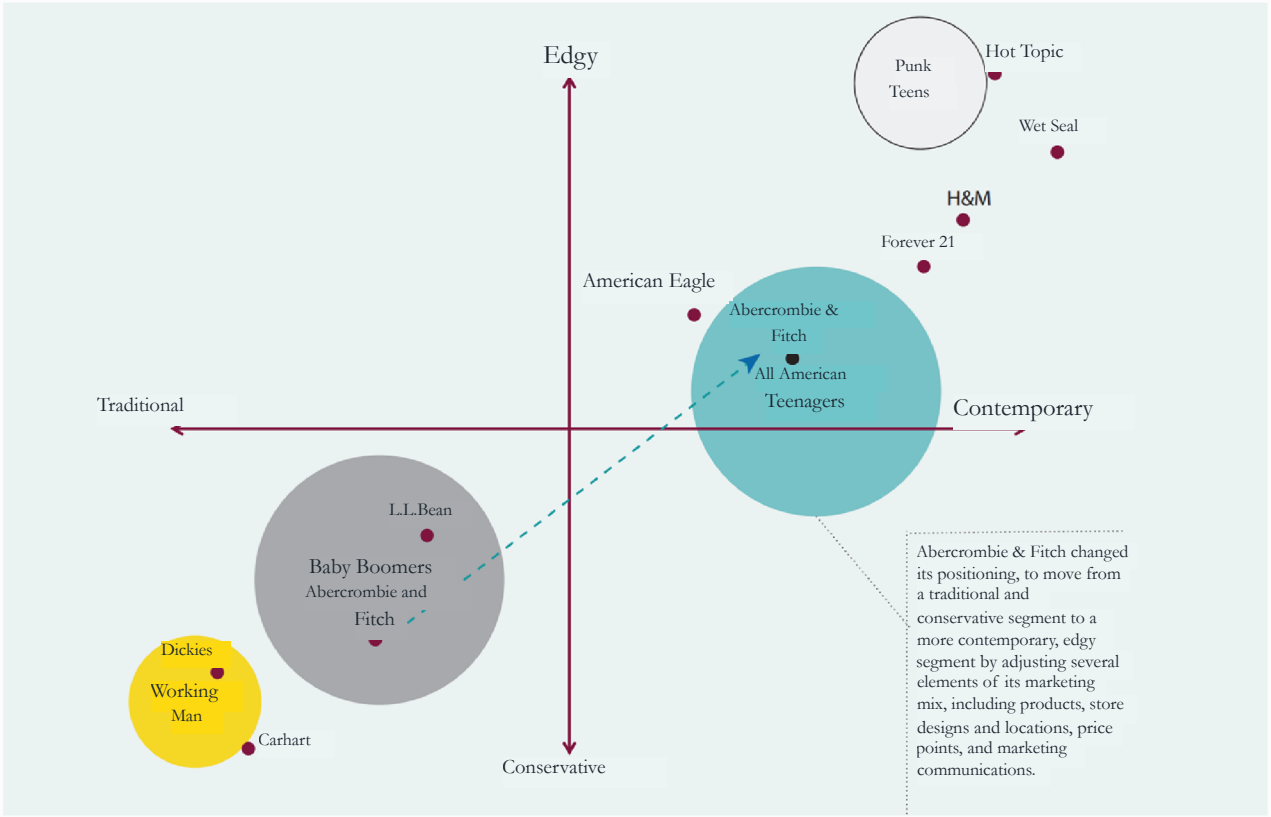


The size ofeach "bubble" indicates the size of the market segment. Gym Socialites or Fashion Trend Setters are the "best" segments for this firm as they are in the upper-right corner of the matrix and are larger markets.

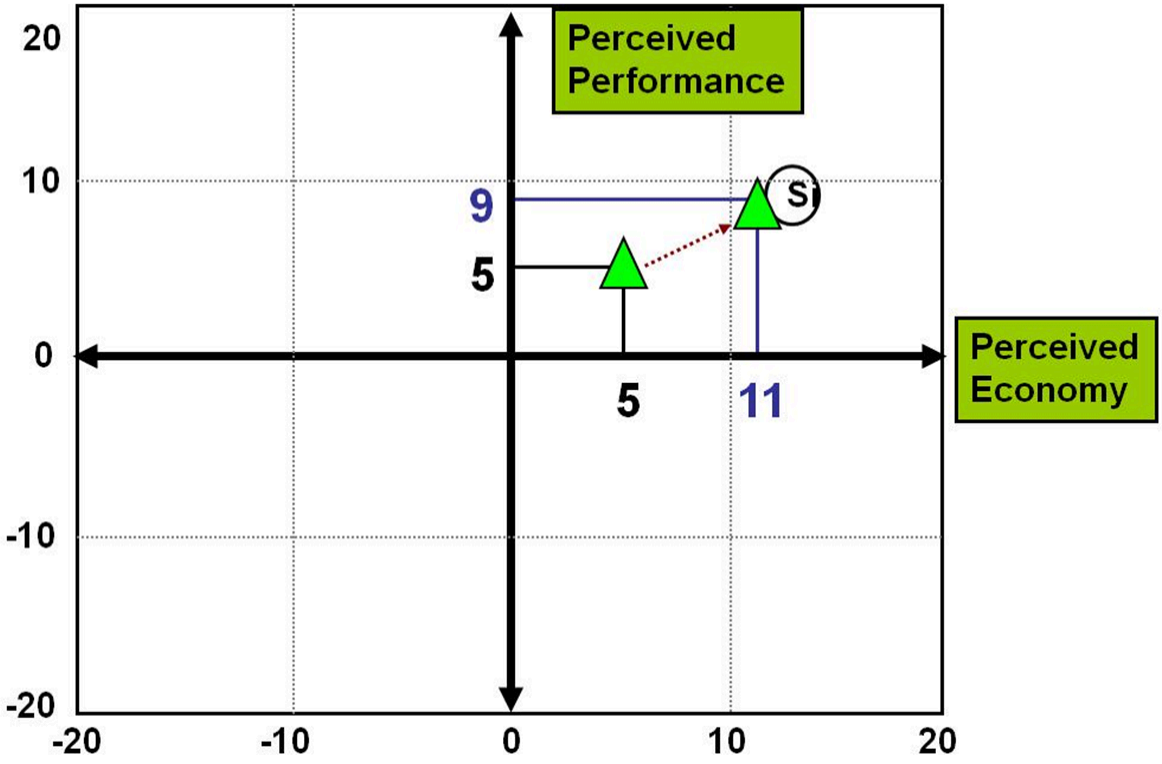
Positioning

- Process of improving your relative advantage in the minds of your targeted customers
  - → Changing both your actual (e.g., innovation) and perceived offering (e.g., branding, relationships)
  - → Uses all three "Cs" as inputs: **c**ustomer, **c**ompany, **c**ompetitors
- Nearly everything you do impacts your positioning
  - → Channel (place): Samsung dropping Kmart
  - → Price: No discounts at Tiffany
  - → Promotion: Tiger Woods at Nike, Starbucks
  - → Product: Bose, Apple
- **Perceptual maps:** analysis tool to aid in positioning decisions
- **Repositioning:** process by which a firm shifts its target market

Perceptual Map: Analysis Tool for Positioning



Perceptual Map (Markstrat Example)



A Positioning Statement Answers Three Questions

1. **Who** is the target customer?
2. **What** need does the offering fulfill?
3. **Why** is this offering the best choice relative to alternatives?



For [target customer], our offering provides [benefit] because [credible reason to believe].

Evaluating a Positioning Statement

JC Penney: For [Modern Spenders and Starting-outs in mid-income levels who shop for apparel, accessories, and home furnishings] we offer [private-label, supplier exclusive, and national brands] that [deliver greater value than that of our competitors] because of [our unique combination of quality, selection, fashion, service, price, and shopping experience].

- **Who** are the customers?
- **What** is the set of needs that the product or service fulfills?
- **Why** is this product/service the best option to satisfy your needs (relative to competition or substitute; support for why)?

MBA Case: From Segmentation to Targeting

The segmentation analysis produced six applicant groups with distinct benefit priorities. The next decision is not whether every segment is interesting, but which segments the program should prioritize.

Young Status Seekers	New Career Networkers	Relevant Learners
Mobility Minded	Easy Promotions	Cheap and Easy

MBA Case: Targeting Criteria

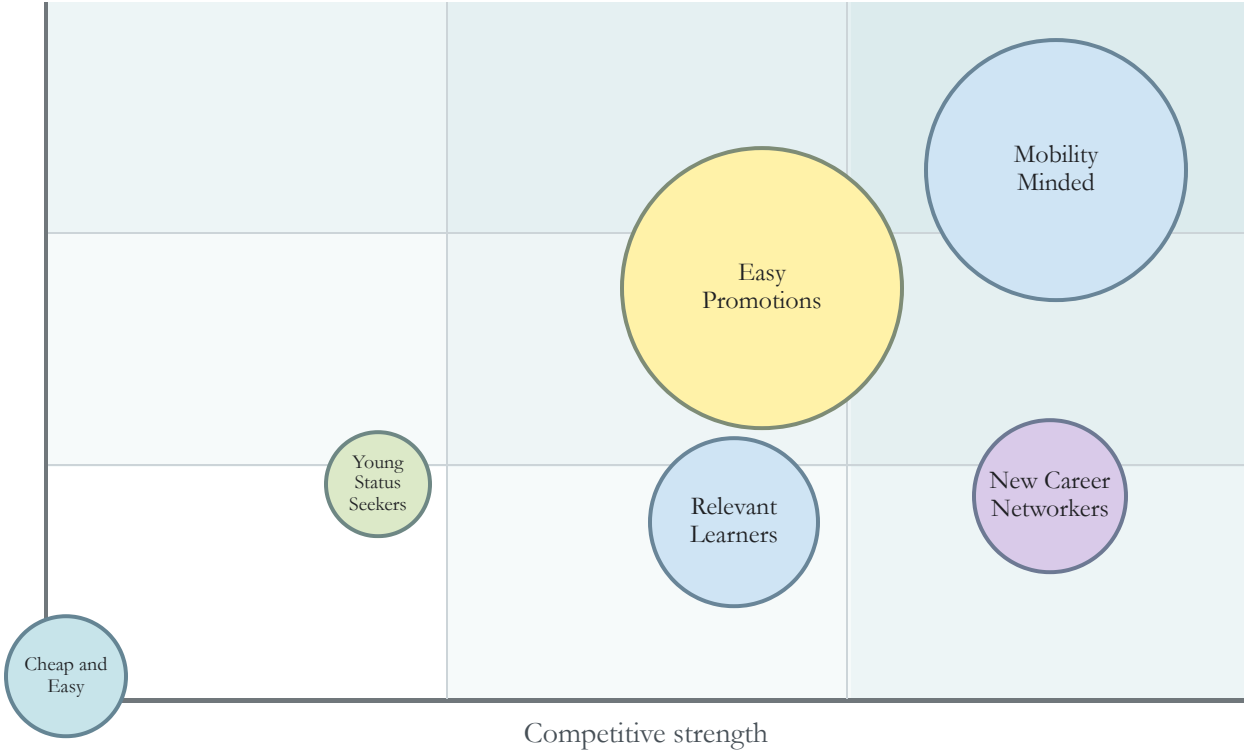
Market attractiveness

- Segment size and expected growth
- Willingness to pay and price sensitivity
- Strategic importance to the program

Competitive strength

- Likelihood of choosing the program
- Needs met better than competing schools
- Fit with the program's brand and capabilities

MBA Case: Targeting with the GE Matrix



Bubble size represents relative segment size. The upper-right region combines high attractiveness with high competitive strength.

MBA Case: Target Segment Decision



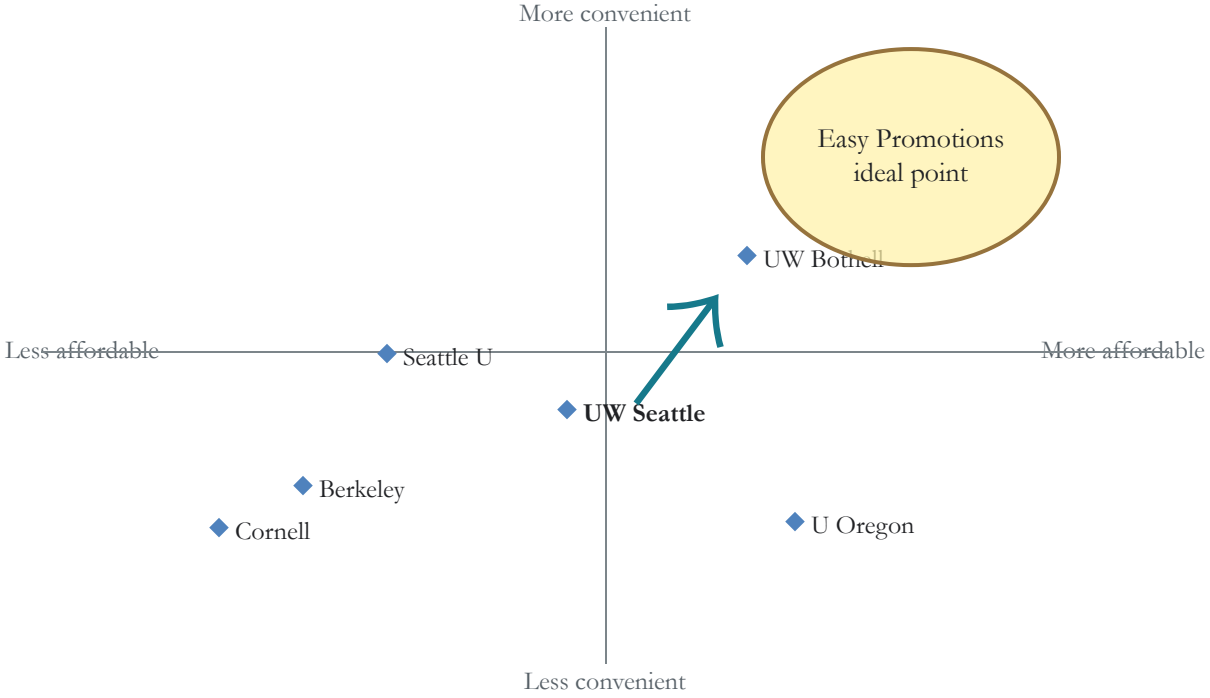
- Highest combined attractiveness and competitive strength in the GE matrix.
- Values benefits the program can credibly deliver.
- Large enough to justify a distinct message and channel plan.

> Should "Easy Promotions" become a secondary target, or would that dilute the program's position?

MBA Case: Positioning Question

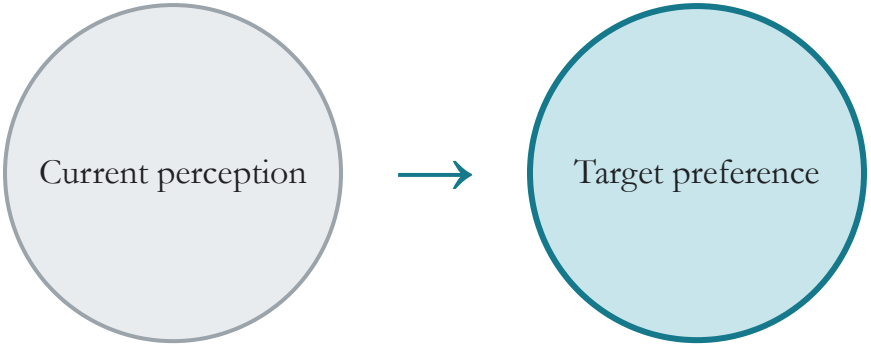
Target customer	Mobility-minded professionals seeking career advancement and a credible degree.
Competitive frame	Regional MBA programs that differ in prestige, convenience, affordability, and career support.
Decision	Which two dimensions best represent the target segment's trade-offs?

MBA Case: Perceptual Map



The map compares the program and competitors on convenience and affordability for the selected target segment.

MBA Case: Interpreting the Positioning Gap



- The distance between the program and the segment ideal identifies a positioning gap.
- Communication can change perceptions only when the program has credible evidence.
- Large operational gaps require changes to the offering, not only a new message.

MBA Case: Positioning Statement

For mobility-minded professionals who want career advancement without leaving work, the MBA program offers a flexible, credible path to a stronger professional network because its schedule, curriculum, and employer connections support working students.

Target: mobility-minded professionals

Need: advancement with flexibility

Reason to believe: schedule, curriculum, and employer network

MBA Case: From Positioning to Action

Offering

Scheduling, curriculum, and career services must support the promise.

Message

Show credible evidence of career mobility and flexible participation.

Channels

Reach working professionals through employers, alumni, and targeted digital media.

Exercise: Describe Your Firm's STP

Segmenting

How is the market divided?

Targeting

Which segment receives priority?

Positioning

What distinct value should the target perceive?

Customer-Centric Approach

- The customer-centric approach to managing customer heterogeneity is a company-wide philosophy that places customers' needs at the center of an organization's strategic process and uses the insights to make decisions
- Successful customer centricity depends on a strong **market orientation**
- A marketing orientation comprises three dimensions:
  - → Intelligence generation ("We often meet with customers to understand their future needs")
  - → Intelligence dissemination ("There is a high level of communication among our employees about customers")
  - → Responsiveness ("We respond quickly to customers needs")

What Does It Mean for a Firm to Be Customer Centric?

A customer-centric firm places customer needs at the center of its vision, decisions, processes, structure, culture, and metrics.

Input

Use customer needs and feedback to guide decisions.

- Customer and channel councils
- Managers listening in the call center

Output

Measure success from the customer's perspective.

- Customer satisfaction
- Loyalty and Net Promoter Score

Processes

Link customer information to operating systems.

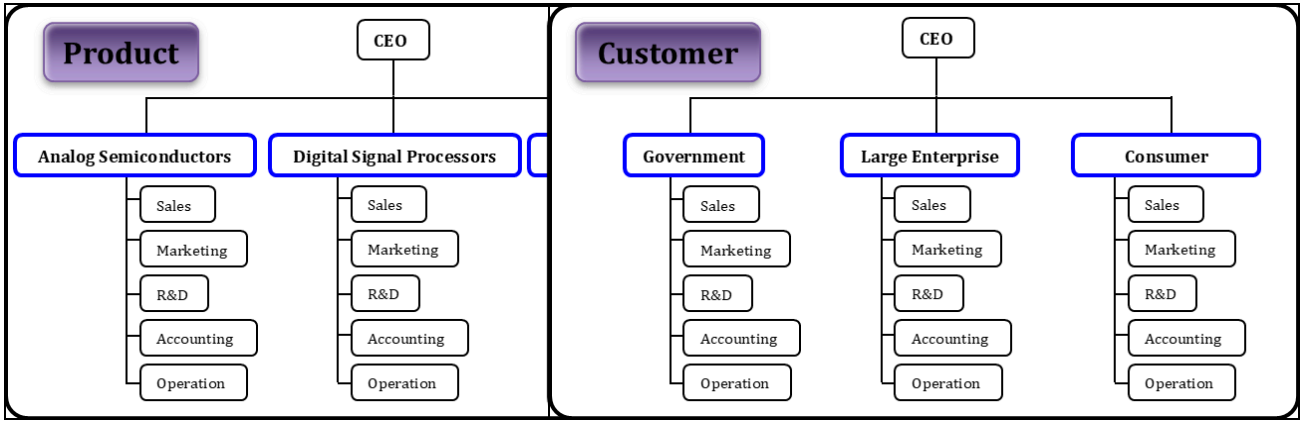
- Compensation
- Scorecards and dashboards

Example: Sainsbury's (UK)

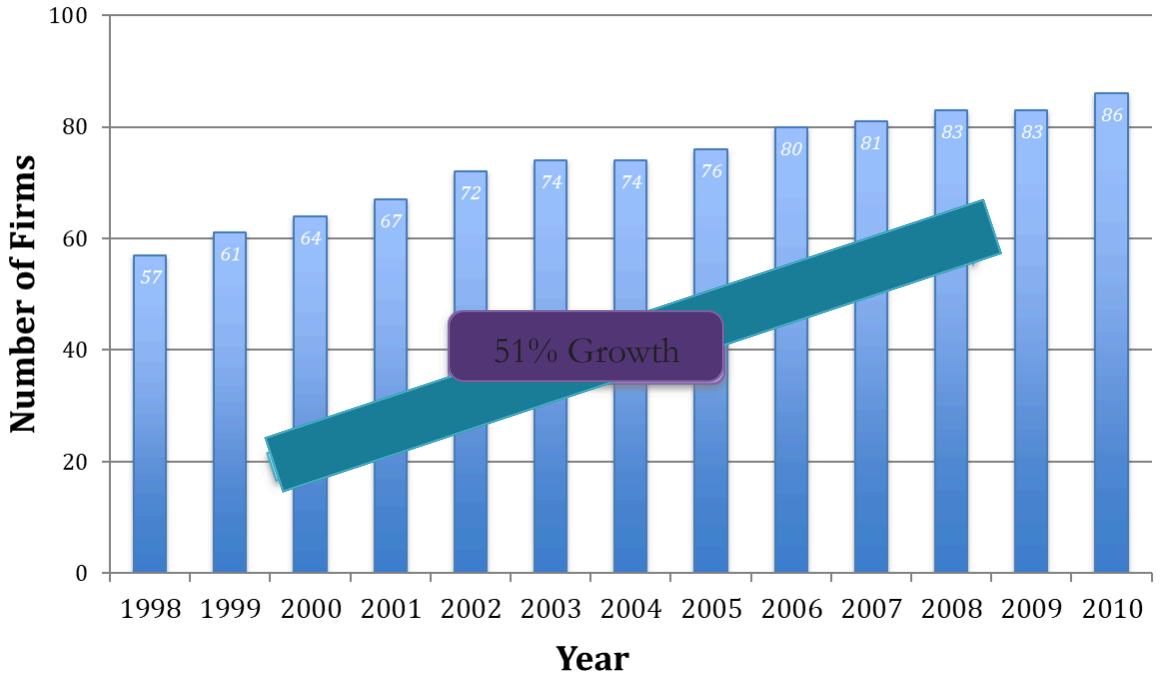
- UK's second largest supermarket
- By talking to customers, realized that customers' purchase decisions were based on three key factors: product quality, ease of shopping, and access to multichannel interfaces
- Invested in R&D, store location, and IT infrastructure

Firms are Shifting Toward a Customer-Centric Structure

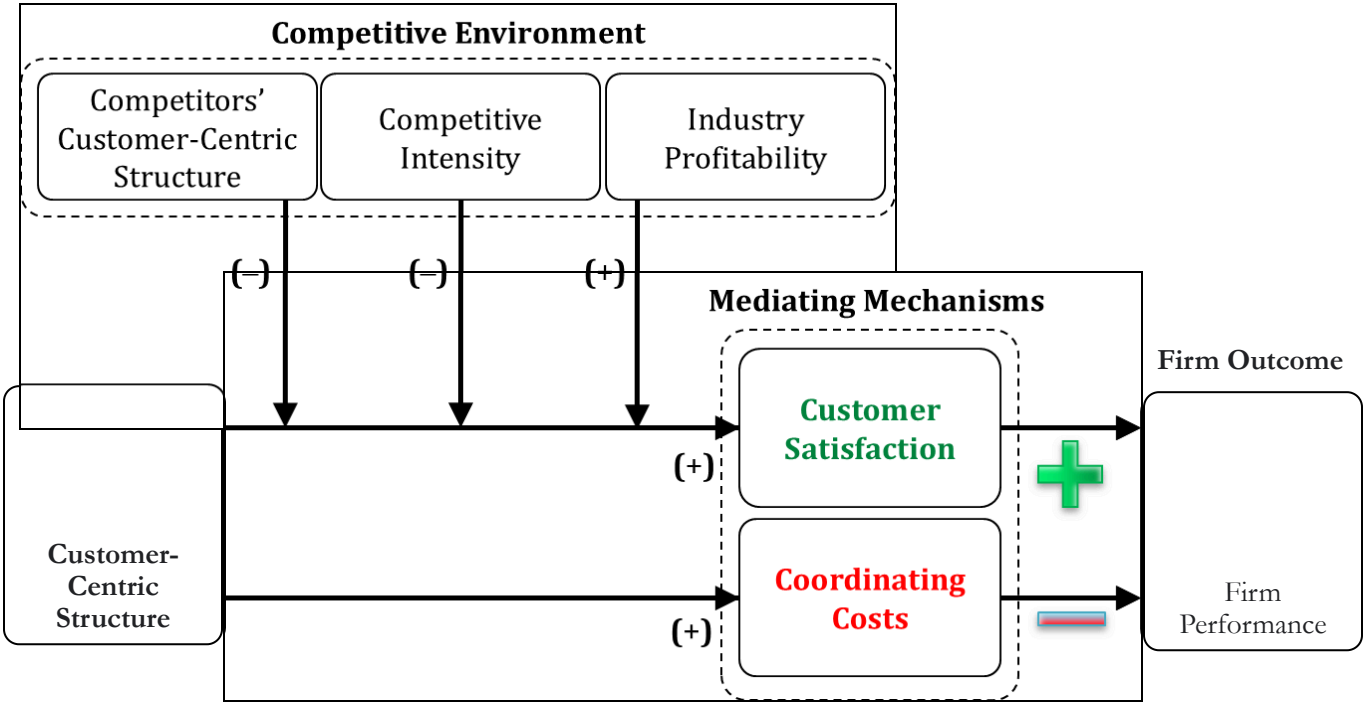
"So rather than relying on a structure focused on the company's discrete **product lines**, Intel's reorganization will bring together engineers, software writers, and marketers into **five market-focused units**: corporate computing, the digital home, mobile computing, health care, and channel products—PCs for small manufacturers." (*BusinessWeek*).



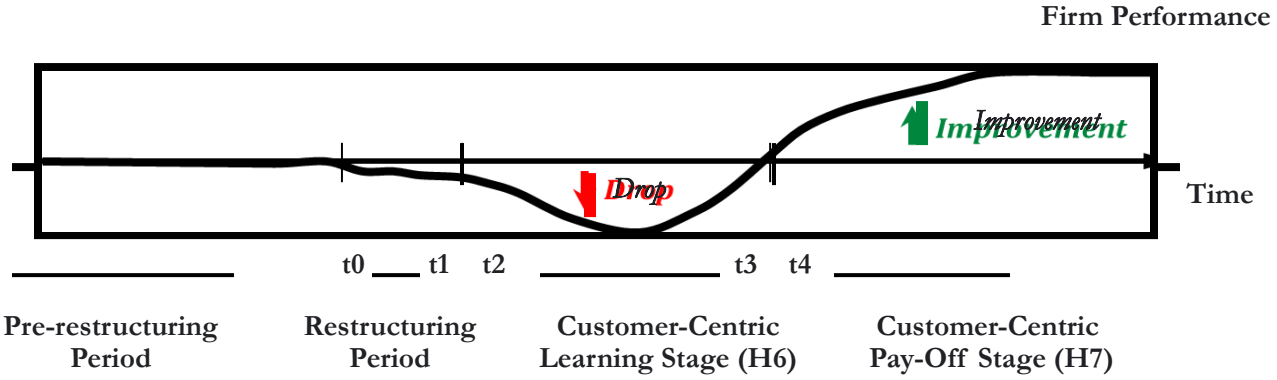
Trend of Customer-Centric Structures in the *Fortune* 500 Firms



How and When Does a Customer-Centric Structure Payoff



Dynamic Effects of Customer-Centric Restructuring on Firm Performance



On average, firms that switched to a customer-centric structure initially perform worse than before the restructuring (customer-centric learning stage), but after about 9 or 10 quarters, their performance exceeds pre-restructuring levels (customer-centric pay-off stage)

Week 2 Recap and Next Week

Covered today

- Why all customers differ
- Five sources of heterogeneity and latent demand
- Evolution from mass marketing to STP and customer centricity
- Factor analysis, clustering, classification, targeting, and positioning through the MBA case

Next week

- The customer heterogeneity framework
- AI Frontiers: embedding-based segmentation
- Guided EMBA segmentation homework workshop